

8-6b Accounting for Notes Receivable

A promissory note may be received by a company from a customer to replace an account receivable. In such cases, the promissory note is recorded as a note receivable.

To illustrate, assume that a company accepts a 30-day, 12% note dated November 21 in settlement of the account of W. A. Bunn Co., which is past due and has a balance of \$6,000. The company journalizes the receipt of the note as follows:

Nov.	21	Notes Receivable—W. A. Bunn Co.	6,000			
		Accounts Receivable—W. A. Bunn Co.		6,000		
		Assets	=	Liabilities	+	Stockholders' Equity
		Accounts Receivable				
		Notes Receivable				
		6,000				
		6,000				

At the due date, the company journalizes the receipt of \$6,060 (\$6,000 face amount plus \$60 interest) as follows:

Dec.	21	Cash		6,060	
		Notes Receivable—W. A. Bunn Co.			6,000
		Interest Revenue			60
		[\$6,060 = \$6,000 + (\$6,000 × 12% × 30 ÷ 360)].			

Assets		=	Liabilities	+	Stockholders' Equity
Cash	Notes Receivable				Interest Revenue
6,060	6,000				60

If the maker of a note fails to pay the note on the due date, the note is a **dishonored note receivable** (A note that the maker fails to pay on the due date.) . A company that holds a dishonored note transfers the face amount of the note plus any interest due back to an accounts receivable account. For example, assume that the \$6,000, 30-day, 12% note received from W. A. Bunn Co. and recorded on November 21 is dishonored. The company holding the note transfers the note and interest back to the customer's account as follows:

Dec.	21	Accounts Receivable—W. A. Bunn Co.		6,060		
		Notes Receivable—W. A. Bunn Co.			6,000	
		Interest Revenue			60	
		Assets	=	Liabilities	+	Stockholders' Equity
		Accounts Receivable				Interest Revenue
		Notes Receivable				
		6,060				60
		6,000				

The company has earned the interest of \$60, even though the note is dishonored. If the account receivable is uncollectible, the company will write off \$6,060 against Allowance for Doubtful Accounts.

A company receiving a note should record an adjusting entry for any accrued interest at the end of the period. For example, assume that Crawford Company issues a \$4,000, 90-day, 12% note dated December 1, 20Y3, to settle its account receivable. If the accounting period ends on December 31, 20Y3, the company receiving the note would journalize the following entries:

20Y3					
Dec.	1	Notes Receivable—Crawford Company	4,000		
		Accounts Receivable—Crawford Company		4,000	
		Assets	=	Liabilities	+ Stockholders' Equity
		Accounts Receivable		Notes Receivable	
		4,000		4,000	

Dec.	31	Interest Receivable	40		
		Interest Revenue		40	
		Accrued interest			
		(\$4,000 × 12% × 30 ÷ 360).			
		Assets	=	Liabilities	+ Stockholders' Equity
		Interest Receivable		Interest Revenue	
		40		40	

The receipt of the maturity value of the note on its due date of March 1, 20Y4, is recorded as follows:

20Y4					
Mar.	1	Cash	4,120		
		Notes Receivable—Crawford Company		4,000	
		Interest Receivable		40	
		Interest Revenue		80	
		Total interest of \$120			
		(\$4,000 × 12% × 90 ÷ 360).			
		Assets	=	Liabilities	+ Stockholders' Equity
		Cash		Interest Revenue	
		4,120		80	
		Interest Receivable			
		40			
		Notes Receivable			
		4,000			

The interest revenue account is closed at the end of each accounting period. The amount of interest revenue is normally reported in the “Other revenue and expense” section of the income statement.

Pathways Challenge

This Is Accounting!

Economic Activity

When a company sells goods or services on credit, it is exposed to credit risk—the risk that the account will be uncollectible and, thus, the company will not receive what it is owed. Some types of accounts receivable are more susceptible to credit risk than others. For example, **Wynn Resorts (WYNN)** operates resorts and casinos located in Las Vegas, Nevada, and Macau, China. Casino revenue represents over 71% of its total revenue. A major portion of its casino accounts receivable comes from international customers.

Critical Thinking/Judgment

On its balance sheet, should Wynn Resorts report casino accounts receivable separately from its other business-related accounts receivable?

Do you think accounts receivable from international casino customers are riskier than local casino customers? If so, why?

What percent of Wynn Resorts' casino accounts receivable would you estimate to be uncollectible?

What percent of Wynn Resorts' other business-related accounts receivable would you estimate to be uncollectible?

Check up Corner 8-3

Notes Receivable

Icebreaker Company receives a 120-day, 6% note for \$40,000, dated May 14, in settlement of a \$40,000 account that is past due.

- a. Determine the due date of the note.
- b. Determine the maturity value of the note.
- c. Journalize the entries to record the (1) receipt of the note and (2) collection at maturity.

